

AMERICAN FORK CITY COUNCIL
FEBRUARY 10 AND 11, 2022
BUDGET WORKSHOP MINUTES

Members Present:

Bradley J. Frost	Mayor
Kevin Barnes	Council Member
Staci Carroll	Council Member
Ryan Hunter	Council Member
Rob Shelton	Council Member
Clark Taylor	Council Member

Staff Present:

David Bunker	City Administrator
Patrick O'Brien	Community Development Director
Camden Bird	Community Services Director
Terilyn Lurker	City Recorder
Taraleigh Millar	Executive Assistant
Anna Montoya	Finance Director
Aaron Brems	Fire Chief
George Schade	IT Director
Cherylyn Egner	Legal Counsel
Josh Christensen	Police Lieutenant
Derric Rykert	Parks and Recreation Director
Scott Sensanbaugher	Public Works Director

The American Fork City Council met in a budget workshop with key staff on Thursday, February 10, 2022, beginning at 4:35 p.m. and Friday, February 11, 2022, beginning at 8:30 a.m. at the Fox Hollow Golf Course, 1400 North 200 East.

February 10, 2022, at 4:35 p.m.

David Bunker, City Administrator, welcomed everyone to the workshop and explained they will be talking about goals, resources and budgetary needs to complete the goals. He suggested they write down any ideas they have for possible goals and priorities. Mr. Bunker went over the items those present will go over throughout the workshop.

COMMUNITY SURVEY

Camden Bird, Community Services Director, went over the community survey, which was open from December 1, 2021, to January 3, 2022. There were 1476 online responses; they had no physical surveys this year. He noted there were two new questions asked this year dealing with housing and road funding. The quality of life stayed the same as last year, with 90% of the residents say it is good or excellent; 34% of the respondents indicated the quality of life was

excellent. The age of most of the respondents dropped from 65 and older to 35-44 years of age; this year the survey was online only, so that could account for the drop in numbers. The greatest percentage of respondents were from the north. Mr. Bird noted the new question responding housing status showed the majority were homeowners. The top issues in American Fork were poor road quality, too much growth, and access to internet. He noted internet jumped from 7th last year to 3rd this year. Last year, the number one top issue was safety, followed by growth and roads.

Mr. Bird stated the other new question dealt with funding for roads. They were asked if they would support a utility fee or property tax increase specifically for road improvements and 47% said yes, 45% saying no, 7% as maybe, and 1% undecided. Last year, most people said they would not support an increase for roads.

Mr. Bird went over the quality of city services and quality of customer service. For the most part, there was no significant change from last year.

FY 2022 STRATEGIC GOALS UPDATE

An update on the FY 2022 Strategic goals was given:

- Property Tax. This will be discussed later in the workshop.
- Water Preservation. Staff has been working with Horrocks Engineers on water recycling to see how it would be accomplished. Staff will then take it to TSSD and the Department of Water Resources.
- Fiber. MDI will present their findings to the council at the next work session. From there, they will work on developing the model and submit an intent to negotiate.
- 200 South Construction. They are done with the design work and will be working with the county and Alpine School district on the CRA.
- Art Dye Parking lot. The goal is to have this completed in June in time for Steel Days.
- Land Acquisition. The city did lock in the purchase of the 30 acres on the south side of the freeway but could still work with developers on some smaller parks on the south side. The Parks and Trails Committee will be presenting their master plan shortly.

FY 2022 CAPITAL IMPROVEMENT PROJECT STATUS UPDATE

An update on the Capital Improvement Status was given:

- Fire Station 52. The land was purchased, and they are working on the design.
- Fitness Center spin room remodel.
- Open space/fire station 53 land purchased.
- Parks
 - Irrigation clocks installed
 - Playground replacement at Evergreen and Martin Parks
 - Art Dye parking lot to be completed by Steel Days
 - Pedestrian/Bikeway trail funding secured (MAG). It was noted they need to work on funding for a sidewalk/trail along 700 North and Mr. Sensenbaurer stated they could apply for safe routes to schools funding.

- Library Children's room remodel is underway.
- Infrastructure Management Plan
 - o FY 2022 projects are complete. This includes 300 North, 1120 North, and 850 East. The CDBG 9 projects are anticipated to be bid early in spring and constructed over the summer.
 - o FY 2023 projects are in design. This includes 300 North (100 East to 200 West) and portions of 500 South, 330 East, and 620 South.
- 860 East construction is complete.
- 700 North connector is in the Geotech design with property negotiations underway.
- 1100 South widening project is underway.
- 300 West and Pacific Drive design is nearly complete.
- Traffic Signals. The signal at 500 East Auto Mall Drive has been construction and the design for 300 North 600 East and 620 South 600 East signals is nearly complete.
- Water Projects. The 36" waterline segments 1 & 2 are complete and the contract for segment 3 was awarded. The rehabilitation of the Country Club and Hospital Wells are underway. The supplies for PI meters have been ordered for phase 1 and installation anticipated in summer of 2022. The city received a matching grant for the PI meters and staff was looking for additionally funding for the city's portion of the matching grant.

FY 2022 BUDGET STATUS UPDATE

Ms. Montoya explained most of the information presented is based off December's numbers. The revenues are up 22.7% from same period last year. The city has received 12.1% more in sales tax over last year, however, they do not feel that number will be sustained. With inflation, it was unknown how the sales tax would come in, and they cannot assume it will continue to increase as it has been. Sales tax, property tax, other taxes, and building permits have all increased. Ms. Montoya noted they are very conservative on sales tax revenue and are treating the increases as one-time funds. She went over the sales tax trends for the last year and stated that every year they have had increases, except for 2020 due to covid. She showed the sales tax revenue by month. It was noted the cities does receive tax revenue from Amazon. There was a short discussion on whether online sales tax was collected for PARC Tax.

Ms. Montoya went over the property tax growth since 2008, stating they receive the same amount of property tax without a truth in taxation. The increase they see is due to growth. They will know the beginning of June the tax rate.

Ms. Montoya went over the general fund expenditures. She stated that 50% of the year had passed and the overall expenditures was 45.4% of budget as of December; they were on track. The general fund budget by department was shown, with the total expenditure budget at \$28 million. The FY 2022 budget vs. actual was shown through December. One item to note was supplies were more than expected.

Ms. Montoya stated the city made the final debt service payment in June 2021 for Station 51. They did issue a new bond for Station 52 and that went on the tax rolls as the old debt came off.

She went over the new debt, including the 2020 Water Revenue Bond for the 36” waterline project; they will get the rest of the money and award the project in the next month or so. The PARC tax will continue to subsidize the 2018 Sales Tax revenue bond for the Art Dye project.

The sales tax was up, which meant there was an increase in PARC Tax, which would give the city more funds to allocate to applicants. Ms. Montoya noted they have \$927,000 allocated for the May 2022 awards. The administration costs were up to 1.5% and the fund balance was \$69,213 as of June 30, 2021. She noted the city was conservative in the PARC Tax amount that is budgeted; if the funds come in higher, they can adjust that and award additional funding.

The Fitness Center charges for service are up, but they had been down last year due to COVID. They are subsidizing about 30% of the budget. The personnel expenditures were up due to increased programming but that was been offset by the higher revenues.

With the Capital Projects Funds, Ms. Montoya explained the city earmarked \$500,000 of property tax for infrastructure improvements. She noted the B&C revenues were up as well as sales tax for transportation. The largest projects are 82% of the budget and included \$5.5 million that will be carried over for future projects, as well as the 700 North project and the 200 South bike/pedestrian path project.

In the Culinary & Pressurized Irrigation Water Funds, the revenues were up however the consumption revenue was down due to conservation. It was noted the expenditures were mainly capital projects such as the 36” waterline, well rehabilitation projects, CDBG Phase 9, and the PI metering project. The water funds available fund balance was about \$10 million, but Ms. Montoya noted there were several projects earmarked to use those funds. The Sewer and Storm Drain revenues were up, with new storm drain fees effective January 1st. The operating expenditures were also up, with the sewer operating expenditure increase due to the TSSD payment timing difference. Storm drain capital projects are included in some of the water projects.

The workshop adjourned at 5:50 p.m.

February 11, 2022, at 8:30 a.m.

Mr. Bunker welcomed everyone back to the workshop.

FY 2023 CAPITAL PROJECTS OUTLOOK

Ms. Montoya stated that for future capital improvement needs, there was \$3.7 million for the infrastructure management plan, \$25 million for the 200 South improvements, over \$50 million for facility needs due to growth, \$12 million for the pressurized irrigation metering, and \$2 million per year for the vehicle replacement program. Last year, all departments had listed their facility needs but it was difficult to estimate funding needs as costs have gone up exponentially.

Ms. Montoya noted funding options include certifying or increasing the property tax rate, pursuing the CRA in the TOD Zone, impact fees, reduce programming and services to reallocated current resources, issue debt, or increase fees. With incurring debt, Ms. Montoya went over the debt capacity of the city.

Ms. Montoya noted the needs of the city has gone up \$10 million over last year and they need to prioritize what is most important. The requests from the departments are not fluff stuff items, but things that were needed. The interest rates are increasing, which will mean the dollars borrowed doesn't cover as much and as rates change, it limits their ability to obtain funding for what they need. There was a short discussion on the need for bonding and the interest rates and it was felt if they opt to bond, they will need to investigate that sooner rather than later.

5-YEAR CRITICAL NEEDS STRATEGY

The next topic was the 5-year Critical Needs Strategy. It was noted that if the city waited to decide, they may get boxed into a corner and that limited their ability to make the best decision. Mr. Bunker went over the population projects and noted that last year, the city issued more building permits than ever before, and they were on track to issue even more this year. In twenty years, the population could be at 65,000; those numbers were conservative. While the city doesn't have the land for the population, the densities will go higher. For example, as the older parts of town are redeveloped, the density will be higher. Another factor in a higher population was the renting out of basements.

With the population growth, there is more demand on services and staff. There were projections provided on facilities and employee needs today, in five years, ten years, and twenty years. There was a discussion on facility needs. While there may be some opportunities for employees to work from home, a majority of the increase in personnel is in the public safety and public works departments which are hands on.

There are four projects with critical timelines:

- Police/Courts. Unfortunately, they have more officers packed into the police department than they ever thought they would, and they have completely outgrown the building. Currently, the courts have the second and third floor of the building and the contract will expire the end of September. However, there is an option for a 5-year extension that if they choose to. The city will need to re-evaluate the price per square foot and get back with the courts. If the courts were to move, they would lose the rent revenue, but the rent revenue does not cover the bond payments for a new building. It was beneficial to the police department to have the courts in American Fork, but the legal department has been looking into the possibility of having our own Justice Court. Ms. Egner explained she was unable to find any city that came out ahead with a justice court when they factor in the prosecutors.
- Fitness Center. Mr. Bunker went over the numbers in 1993, 2006, 2022 and the proposed needs for 2030 and 2040. There are some questions they need to answer, such as whether

they want to build a new facility elsewhere or keep it at its current location, whether to add on or rebuild existing portion, and what does the city do with the south parking and the Pony field. Part of what needs to happen is the city needs to determine what the needs are for the cemetery and where they will expand.

- Public Works. They have started to look at purchasing adjacent properties for expansion and will need to continue looking at property acquisition as well as piping the river to utilize the entire parcel. Mr. Sensenbaurer stated they have also outgrown the building and need office space as well as housing for equipment.
- City Code Re-Write. Mr. O'Brien stated the development code was not clear or straightforward, and information cannot be found easily. Additionally, there was a lot of contradictions in the code that creates confusion. Ms. Egner explained the city has been piecing things together for years and that when problems are discovered, they are corrected. Ms. Egner stated it would be nice to have a clean slate and tighten up the code. Mr. Bunker stated the cost for this could be six figures and could take a while, but it was necessary. It was noted staff was evaluating development processes to ensure all applicants get through the system.

The council felt this item was important and with the excess in sales tax, now was the perfect time to move forward with this.

Mr. Bunker asked if there were any other critical needs the council wanted to discuss.

Council Member Shelton brought up the culture and expressing appreciation for the employees. He mentioned bonuses or loyalty bonuses, as well as including all employees in the CRA proposal for housing assistance for teachers and police officers.

Council Member Taylor mentioned the need for best practices on communicating with the public. They needed to address response time and making sure staff follows up with the public.

Another immediate concern was 200 South and figuring out how to complete the improvements. There was a discussion on options for funding, such as receiving MAG money and the CRA funding. It was mentioned the flyover the freeway at the Meadows was also critical to the transportation needs of this area.

There was a break from 10:25 a.m. to 11:15 a.m.

FY 2023 BUDGET OUTLOOK

Ms. Montoya went over the General Fund history chart and explained that while expenses have gone up, so has the revenues. The city does have a balanced budget. She went over the general fund revenues and noted that sales tax and permits are leading the growth; the property taxes went down slightly due to the GO bond revenues collected for that purpose. The general fund

expenditures by type were presented, with the note that personnel are by far the highest expenditure. The increase in personnel was due to merit increases and additional personnel.

There was a discussion on the Cedar Hills contract and the annual increase of 2%. It was noted that does not cover the increases, but they do pay additional funds when go over the agreed upon number of calls.

Ms. Montoya went over the general fund expenditures by department. Public safety has increased while every other department has gone down. The Fitness Center had a dip in 2020 due to COVID; as the revenues increase, the expenditures will also increase. She commented they try to keep the subsidy for the Fitness Center at 25%, but they have been over that due to covid.

Ms. Montoya stated the city budgeted conservatively for a balanced budget. Staff looks at trends, economic indexes, and legislation when preparing the budget. They also look at the level of services and whether they keep the FTE level or increase personnel. An issue they are facing is how to remain competitive with low unemployment rates. They need to decide on whether to certify, peg, or increase the property tax rate. Other factors they must take into consideration is health care, COVID recovery, costs escalating, the impact fee studies, and scheduled utility rate adjustments.

GENERAL FUND REVENUE WORK PLAN

Mr. Bunker stated they have talked about costs escalating and more demands on the employees. They need to discuss how revenues will meet the needs.

Ms. Montoya stated one of the goals they had sent was to look at property tax and increasing it. She stated that sales tax was the highest revenue but is vulnerable to economic downturn. She noted 8 of the 20 top tax bringer inners are car dealerships. They need to keep that in mind as the vehicle supply is not there, and the revenue will decrease. The city receives nearly \$5 million in property tax and that is steady unless they have growth. Ms. Montoya went over the property tax rate history; the last increase was in 2008 and that increase was allocated to road projects. The 2021 property tax rate was broken down for American Fork City homeowners.

Ms. Montoya asked why they would increase the property tax rate. There were several reasons, but the biggest reasons were public safety employee retention; the amount increased for public safety to stay competitive was \$730,000. The city was short for what was needed for road improvement; they have allocated \$2.5 million a year but the needs were significantly higher. She wanted to show the tax rate scenario with the outcomes of a pegged rate, .01 increase, .025 increase, and .05 increase based on an assessed value increase of 5%. She explained if they pegged the tax rate, the increase would be approximately \$22 per year per home with a total revenue increase of \$221,094. For each .01 increase, the revenue brought in would be approximately \$320,650.

The council discussed the options presented regarding the property tax. The city needed to look at our needs, regardless of what the school district does. Council Member Shelton felt the .25%

rate increase and pegging thereafter was the best option. Council Member Taylor thought the .25% increase was already eaten up with the needs and felt they may need to choose the .5% option with pegging thereafter. It was noted the citizen survey was encouraging with the comments that they would be okay with an increase if it went towards roads.

Ms. Montoya stated they can update the schedule when they get more tax rate information in June. With truth in taxation, they would have to hold a public hearing where people may show up to make public comment; if the city were to double the rate, a lot of people will comment. It was felt the city can justify the increase. When the rate is pegged, the higher the valuation then the property taxes would be higher; if they have a double digit increase in fair market value, they will have a much larger increase. If the council opts to peg the tax rate, they will have to go through truth in taxation every year and could make a decision at that time.

Ms. Montoya went over the truth in taxation milestones. If they decide to do this, the city will need to put in the tentative budget the increased property tax. As part of the budget process, they will have meetings with time for the public to provide input. There was the discussion on pegging the tax rate and bringing it up every year or whether to have a huge bump one year and not look at it for a few years. Staff would prepare an analysis on pegging the tax rates. The council also stressed the need to get information out to the public, specifically showing what the funds will be spent on.

Mr. Bunker stated they also have the fiber issue, and based on the MDI survey, 90% of the residents want the city to address fiber. If the council is serious about that, that will affect the roads since there would be road cuts involved. One thing would be to include funding to address the road cuts if they bond.

There was a break from 12:25 p.m. to 12:45 p.m.

FY2023 STRATEGIC GOALS WORK PLAN

Mr. Bunker explained the next portion of the workshop was to discuss possible goals and priorities for FY 2023 and to get some thoughts on the vision for the city for the next fiscal year. Some possible goals discussed were:

- Fiber – a clear message from the citizens
- Property acquisition plan – for parks, expansion of public works
- Master plan for 30-acre purchase on south side of freeway
- Financial Investment plan / Investment strategy
- Downtown master plan – to include police/courts and administration offices
- Employee morale and culture
- Communication – best practices for communication with citizens
- City code re-write – setting a timeline and funding
- 200 South – funding
- Recycling Water – the city will be working with TSSD to see if they are okay with the recycling water

Mr. Bunker stated staff will take the possible goals and bring it back to the city council to a work session to make sure the council was okay with the goals. It was noted staff still has day-to-day responsibilities on top of focusing on the goals but if there were issues with meeting deadlines, that can be communicated to the council. This was a good process to go through every year and they can get a lot accomplished.

The council express their appreciation for the work that went into the retreat and the things they were able to discuss.

ADJOURN

The workshop ended at 1:10 p.m.



City Recorder
Terilyn Lurker